



The accounting cycle

The accounting cycle is a step-by-step process bookkeepers use to record, organize, and classify a company's financial transactions. It helps to keep all accounting uniform and eliminate mistakes.

How it works

The cycle works as an aid to organize workflow into a cyclical chain of steps that are designed to reflect the way assets, money, and debts have moved in and out of a business. It progresses through eight different steps, in the same order each time, and restarts as soon as it has finished. The cycle can be based on

any length of time—this is known as an accounting period—and usually lasts a month, a quarter, or a year. Accounts which deal with revenues and expenses return to zero at the end of each financial year, while accounts showing assets, liabilities, and capital carry over from year to year.

The eight-step cycle

The processes shown here are repeated in the same way for every accounting period. All businesses go through different phases, and the accounting cycle works by reflecting that. The financial statement, which is prepared toward the end of each cycle, is helpful in showing how strongly the business has performed during each period of time.

BOOKKEEPING AND ACCOUNTING

- **Internal controls** A method of deploying, measuring, and monitoring a business's resources. This helps prevent fraud and keep track of the value of assets.
- **Double-entry bookkeeping** The process of recording all transactions twice—as a debit and as a credit. If a company buys a chair for \$100, its debit account increases by \$100 and its credit account decreases by \$100.
- **Bad debts** Debts that cannot be or are unlikely to be recovered, so are useless to the creditor (lender), who writes them off as an expense.

